Business Analytics Terminology

1. Business Analytics: is the use of data, statistical analysis as well as technology to analyse how a business performs. It helps us understand how the business has performed in the past, predict how it will do in the future as well as help us find solutions or ways to conduct business in a way that avoids risks in the future. e.g, a company has a branch where stock is constantly delivered late so they open a branch in the area which resulted in orders being delivered on time and the store having more sales.

2. Data Analytics: is the collection of data, cleaning it, using SQL or python, discovering actionable insights, patterns and trends that influences management in ~~busin~~ decision making. E.g, If a store sells a certain product and is barely makes sales over a long period of time data analytics can suggest that item be removed from the shelves.

3. Business intelligence: is the act of using tools and dashboards to show how the business is currently standing. It display the current total revenue, number of sales, total transactions and other important info for the management to be able to easily track.

4. Data-driven decision making: means making decisions about the next step based on the data and insights provided by analysis. E.g, If a TV show does not have views at all the decision will be made to discontinue it.

5. Big data: Loads of information obtainable from warehouses in the form of spreadsheets, videos, and texts which can be transformed and cleaned to look organised and ready to be use as part of decision making. A good example can be e-hailing services handling millions of rides which includes clients locations and prices.

6. Descriptive Analytics: this is the practice of collecting, organising and summarising raw data to explain what happened in the past or is currently happening. An example is a ~~f~~ dealership checking December's sales to see which brand sold the most over the festivos.

7. Diagnostic Analytics: performs a deep dive analysis to examine the root cause of a specific business outcome. An example being KFC's sales dropping only to find that a Hungry Lion store just opened not far from it.

8. Predictive Analytics: the use of historical data to assume/guess what might happen in the near future. Assist management and analysts to pinpoint risks and opportunities for the business. E.g, if you place an order for cosmetics online, the historical data will assume you probably need to refill on toiletries and sends a reminder or promotion.

9. Prescriptive Analytics: the type of analysis that suggests the next steps, more like a recommendation of the next steps you should take on the business

10. Data literacy: the ability to read, comprehend and analyse data to make informed decisions. E.g a coffee shop owner understanding that he sells more coffee during ~~winter~~ winter season because it is cold.

11. Structured data: this is organised data that has a structured format and is usually stored in tables such as excel. An example can be your bank statement with columns, rows, balance, date and amount.

12. Unstructured data: data that has no structure/format. It can be in the form of a video, music, voice recording or pdf

documents and cant be organised or stored in table format.

13. Data warehouse: A central place where businesses stores all its data. An example can be when a business keeps every transaction and other thing in one place (warehouse).

14. Data mining: the use of AI, machine learning and stats to be able to analyse data in order to find hidden trends and patterns. An example can be a store finding out that men who buy beer also buy pampers so to make it easy it places them next to each other.

15. Data visualization is the use of platforms such as excel, databricks, data studio as well as powerBI to show pivot ~~charts~~ tables and charts of how the business is doing currently (analysis).

16. Dashboard: a data visualisation tool that displays key KPI's and metrics on a screen as a way to monitor business. example can be a restaurant showing the orders coming in and those that are ready for collection.

17. Metric: A numerical value used to track product performance in a business. An example can be a business owner checking how many people visited / interacted with the ~~interview~~ website on a daily.

18. Key performance indicator: a metric used to measure the success of a business over time.

19. Benchmark: a standard used to measure the performance or quality of a product or service in a company. An example is a company using industry average profit margin to see how they are doing.

20. Segmentation: the process of dividing customers into sections based on things they have in common. e.g a business ~~that~~ like MTN noticing that it has clients who prefer to get phones through contracts instead of cash.

21. Conversion rate: this describes a group of people who used the call to action strategy you had on a campaign. It checks how many people visited the website and how many of those actually signed up.

22. Customer Acquisition cost: this explains the amount of money a business has to spend in order to attract new clients. Example is a business can spend money on Ads and actually get a certain number of them to become clients.

23. Customer Lifetime value: this describes the amount of money a customers spends in the business ~~during~~ ~~the~~ from the time they become a client to their last day. e.g a client joins netflix for 3 months on a R60 plan, then CLV = R180

24. Churn rate: this talks to the number of customers a business looses at a specific time. If a coffee shop looses 10 customers due to bad service out of 100 then their churn rate is 10%

25. Customer Retention Rate: This is the opposite of Church rate, it is the number/percentage of clients a business gets to keep at a specific time.

26. Net promoter score: this is how ~~of~~ your clients would rate you to other potential clients due to the kind of service you offered them.

27. Average order value: This is the average amount of money a customer will spend per order.

28. Sales funnel: the journey of a customer from the moment they hear about your business to making their final purchase. E.g we buy ads: See Ad, visit site, book inspection, sell car.

29. Marketing campaign: A strategic effort to market and promote a product or service through traditional or social media for a certain period of time. E.g having a sale at MIP for winter, 2 weeks.

30. post-campaign analysis: this is when you analyse how the campaign performed against the objectives after it has took place.

31. Incremental Revenue: This is the additional revenue generated by a certain activity in the business. E.g product launch or price change

32. Return on investment: This checks how much the business has made against what it spent.

33. Return on Ad spend: This is how much money a business made from every advert it made.

34. Click-Through-Rate: This takes to the total number of people who saw the business line and actually clicked on it.

35. Bounce Rate: This is the number/percentage of people who visit a page and leave without signing up.

36. A/B Testing: This is when a business tests 2 products to see which one recieves the most attention.

37. Lead generation: This is when a business keeps contact info of potential clients. Example is property 24 where you can leave your details and they can always send you a listing anytime they are available.

38. Marketing Attribution: This works when a business advertises products or services on social media and later on the client sears the deal on the website. This means the website gets the last click credit